

Artificial Intelligence in the Arab World: Strategic Report 2026

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Executive Summary

AI investment in the Arab world has exceeded \$4.8 billion in 2025, with a projected CAGR of 31.2% through 2030. This report analyzes AI readiness, policy frameworks, talent availability, and sectoral adoption across 10 Arab countries. The UAE ranks 1st globally on the Oxford Insights AI Readiness Index for the MENA region, followed by Saudi Arabia (48th globally) and Qatar (52nd). Jordan emerges as a dark horse with strong government AI strategy, a thriving startup ecosystem (85 AI startups), and world-class academic research in natural language processing for Arabic.

National AI Strategies

UAE: National AI Strategy 2031 with \$2.2B allocation. Falcon LLM (180B parameters).

Saudi Arabia: SDAIA leads National Strategy for Data & AI with \$20B vision alignment.

Jordan: National AI Strategy 2020-2030 with \$85M allocation.

Egypt: National Council for AI established 2019.

Morocco: AI roadmap 2019-2025 centered on Industry 4.0 integration.

Sectoral AI Adoption

Healthcare (34% adoption): AI diagnostic imaging in 78 hospitals.

Finance & Banking (52% adoption): AI fraud detection at 90% of major Arab banks.

Government (41% adoption): AI-powered document processing and smart city management.

Energy (28% adoption): Predictive maintenance and smart grid optimization.

Education (19% adoption): AI tutoring systems and personalized learning paths.

Arabic Language AI Challenges

Arabic NLP remains significantly under-resourced compared to English. The largest Arabic text corpus (OSCAR) contains 18.7B tokens versus 630B for English. Key challenges include: (1) Dialectal diversity, (2) Orthographic ambiguity, (3) Morphological complexity with 5,000+ possible forms per root, (4) Code-switching -- 68% of Arabic social media content mixes Arabic with English and/or French.

Regional initiatives include: Arabic Union for AI (2024), Falak (7B parameters), Jais (UAE bilingual model), and the Arabic Language Technologies Consortium (\$12M funding).

Strategic Recommendations

For Policymakers: Establish unified Arab AI governance framework. Create \$500M regional AI development fund.

For Enterprises: Start with customer service chatbots, document processing, and predictive maintenance.

For Investors: Focus on B2B AI solutions serving Arabic-speaking markets.

For Education: Scale AI literacy programs. Establish 3 regional AI research centers of excellence.

Appendix: AI Talent Map

The Arab world produces approximately 45,000 STEM graduates annually, but only 3,200 specialize in AI/ML-related fields. Egypt leads with 1,200 AI graduates/year, followed by Morocco (520), Jordan (380), and Tunisia (310). To meet the projected demand of 85,000 AI professionals by 2030, the region needs to increase AI-specialized university seats by 250% and create competitive compensation packages to retain top talent.